MODULE 02 · CASE STUDY 8 · PRE-READ FOR CLASS 8

Fifteen Steps to a Holiday

Two companies that wrote down something nobody had written down — and one thing that happens at ten o'clock tomorrow morning that nobody has fixed

READ THIS BEFORE CLASS

Three stories in this case: planning a family holiday in India before the smartphone, buying a bus ticket in 2005, and booking a Tatkal train ticket at ten o'clock tomorrow morning. The first two were fixed by companies you have heard of. The third has never been fixed, and the reason is the most interesting thing in the document.

Read it once, slowly, with a pen. Nothing to memorise — no definitions, no frameworks, no terms that will be tested. Just three ordinary experiences, told at a level of detail nobody normally bothers with, and the numbers underneath them.

3	15–20	5
Journeys	Minutes to read	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

THE CASE

Fifteen Steps to a Holiday

MakeMyTrip, redBus, and the ninety seconds at ten o'clock that nobody owns

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

Do two things as you read. **First, count the steps.** Most people, asked how they booked a holiday, will describe three. Keep a running tally of how many actually happen, and see where your count lands.

Second, and more importantly, track how the feeling changes from step to step. Excited, then exhausted, then anxious, then relieved. Mark the steps where it is worst. That marking is the whole exercise — and by the end of the case you should be able to say why almost nothing in these companies' early years was aimed at the parts people enjoyed.

1 What Planning a Holiday Actually Involved

Set the year at 2004. An Indian family in Delhi decides to take a holiday. Ask them afterwards how they booked it and they will tell you three things: we decided to go to Goa, we went to a travel agent, we went.

Here is what actually happened.

Somebody in the family raised the idea in conversation, probably weeks earlier, and nothing happened. Then the idea returned, attached to a date — a school holiday, a wedding, a long weekend. Then somebody asked around: which relatives had been, where had they stayed, was it expensive. Then a travel agent was visited, in person, during working hours, which meant taking time off work. The agent named a price. Nobody in the family had any way of knowing whether that price was good, so somebody visited a second agent to compare, and got a different price for a slightly different package, which was not comparable to the first. Then a decision was made anyway, under uncertainty. Then money was paid, in cash or by cheque, to a person in a small office, against a printed voucher. Then came a period of low-grade anxiety lasting days or weeks: is the hotel real, is it as pictured, will the tickets arrive, what happens if something goes wrong when we are 2,000 kilometres from home. Then the journey itself. Then the hotel, which was either as promised or an argument. Then the return. Then, afterwards, the telling of the story to other families — which is how the next family's holiday began.

Count them. That is thirteen or fourteen distinct steps, and at least eight separate points of contact with somebody selling something. The family remembers three.

WORTH PAUSING ON

Before you read further, go back over that paragraph and put a mark against every step where you think the family was actually enjoying itself, and a different mark against the ones that would have been miserable. Count each set.

> Do not skip this. In class you will be asked for your two counts, and the interesting part is not the numbers themselves — it is how lopsided they are.

2 Deep Kalra, and a Company That Started Somewhere Else Entirely

MakeMyTrip was founded in 2000 by Deep Kalra, who had previously worked at GE Capital and at AMF Bowling. The first version of the business had nothing to do with Indian families at all.

The initial customer was the non-resident Indian in the United States buying a ticket home — a person who had a credit card, was comfortable buying online, and was badly served by the alternative, which was telephoning an agent in another time zone. That customer was chosen because online payment and trust were solvable problems for him and unsolvable ones in India in 2000.

The domestic business became possible around 2005, and two things made it so. Low-cost carriers — Air Deccan first, then others — had begun selling seats at prices that made air travel a mass consumer decision rather than a business expense. And online payment in India had started, slowly, to work.

So MakeMyTrip turned to the Indian family. And before building the website, the team did something more laborious than building the website: they wrote down the entire process, step by step, exactly as the family lived it, and marked how the customer felt at each step.

3 What They Built, and What They Deliberately Did Not

What came out of that exercise was not a list of features. It was a diagnosis. And the roadmap that followed from it, for years, was unusually narrow.

They put every fare from every airline on one screen, sortable, with the total price visible rather than a base fare plus surprises appearing later. They replaced the paper voucher with instant confirmation by email and SMS. They staffed a phone number with human beings. They wrote cancellation and refund policies where a customer could read them *before* paying, and later built a whole apparatus of guarantees on top.

Now notice what is not on that list. Nothing about making the exciting parts of a holiday more exciting. Nothing about the moment the family decides to go, or the moment they arrive, or the moment they tell the story afterwards. Those parts of the experience received essentially no investment at all.

The company listed on NASDAQ in 2010, the first Indian travel company to do so, and then grew by consolidation: in 2016 it combined with the ibibo group, bringing Goibibo and redBus into the same house, in a transaction that made the combined entity the dominant online travel business in India, with the Chinese travel group Trip.com as a major shareholder. Reported revenue has run in the region of $600 to $800 million a year in recent years, on gross bookings several times larger.

4 Phanindra Sama, and a Diwali He Could Not Get Home For

The second story starts with one person failing to get home.

In 2005, Phanindra Sama was working as an engineer in Bangalore and wanted to travel to Hyderabad for Diwali. He went to a travel agent, who made phone calls, and the answer was that nothing was available. He tried another agent. Same process, same answer.

What struck him was not the absence of seats. It was that nobody in the entire system could actually *see* whether seats existed. Every bus operator kept its own inventory in its own paper ledger, and the only way to find out anything was for one human being to telephone another human being and ask.

Write that process down and it is grotesque. A passenger wants a bus. He walks to or telephones an agent, who telephones an operator, who consults a paper register, who reports back. If the answer is no, repeat with a different agent. If the answer is yes, the passenger pays cash and receives a handwritten ticket with a seat number he cannot verify. He then arrives at a pick-up point that may or may not be where the bus actually stops, at a time the bus may or may not keep, with no way to check either.

Every single step is a failure to know something, and the customer absorbs all of it.

5 redBus, and the Step That Did Not Exist

Phanindra Sama, with Charan Padmaraju and Sudhakar Pasupunuri — all engineers, all from BITS Pilani — founded redBus in 2006.

The insight was not that people wanted to book buses online. Almost nobody in India was booking anything online in 2006. The insight was that the very first thing a passenger needed to do — find out what exists — was not possible at all, and that making it possible meant getting hundreds of operators' inventory into one place. So the hard work was never the website. It was persuading hundreds of small, suspicious, family-run bus operators to put their seat inventory into somebody else's computer system, one operator at a time.

The result restructured an entire industry's experience. A passenger could see which operators ran the route, at what times, at what fares, with which seats free — and could choose a specific seat. The window seat. The one away from the engine. A small feature, and an enormous one for anybody who has spent nine hours on the wrong seat.

The business was acquired by the ibibo group, backed by Naspers, in 2013, in a transaction reported at somewhere between $100 million and $138 million, and it later came into the MakeMyTrip house through the 2016 combination.

> **HOLD THIS THOUGHT**
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> MakeMyTrip and redBus both looked at the same kind of process and came away with completely different conclusions about what to build. Write one line, before class, on how the two findings differ. It is not that one company was cleverer than the other — the difference is about *where* in the sequence each of them was looking.

6 Ten O'Clock Tomorrow Morning

The third story is not history. It happens again tomorrow.

Indian Railways carries a scale of passenger traffic that has no equivalent anywhere. IRCTC, its ticketing arm, reportedly handles well over a million bookings on an ordinary day, and its internet ticketing business — which earns a convenience fee of a few tens of rupees on each ticket — has been reported at revenues in the region of a thousand crore rupees and more, making it among the most profitable things the organisation does.

Consider Tatkal specifically. Tatkal is the quota of seats released one day before travel, and the booking window opens at a fixed time in the morning: ten o'clock for air-conditioned classes, eleven for the others.

Now go through it as the family experiences it. **The night before:** passenger details written out in advance, the payment method checked, and somebody in the family assigned to do it. **At 9:55:** logged in early, sitting at the screen, sometimes on two devices at once. **At 10:00 exactly:** a national simultaneous rush, in which the site slows, times out, or shows a seat that disappears at the payment step. **At 10:02:** either a confirmed ticket and a wave of relief, or a failure and the immediate question of what to do instead. **Then the aftermath:** sometimes a payment that went through without producing a ticket, and a refund that takes days.

Twelve hours of preparation for ninety seconds, resolving in one of two directions, with nothing in between.

Now notice a structural fact that explains all of it. The number of seats is fixed. Demand exceeds it enormously. And the operator does not compete for the customer — there is no second railway. When a business does not compete, nobody inside it is paid to think about any of this, and the customer's experience is whatever happens to be left over once the system's own constraints are satisfied.

That is worth saying carefully, because it is easy to be glib about a public institution operating at extraordinary scale, and running a booking system for a country of this size at ten o'clock in the morning is a genuinely hard engineering problem. The point is not that somebody is lazy. The point is where this kind of work gets done, and where it does not.

7 The Same Family, Ten Years Later

It is worth running the 2004 family forward and doing the whole thing again, because the comparison is more instructive than either version on its own.

Same family, 2015. Somebody raises the idea in conversation, and nothing happens — unchanged. The idea returns attached to a date — unchanged. Somebody asks around, except now the asking happens partly in a WhatsApp group and partly by reading strangers' reviews, which is faster and produces more contradictory advice rather than less. Nobody takes a day off work. Nobody visits an office. Fares from every airline appear on one screen in eight seconds, sorted by price, with the total shown. The comparison that used to take two days and produce no confidence now takes four minutes — and the family compares six websites anyway, because they can.

Then the payment, which is a card and a one-time password rather than cash across a counter. Then confirmation, which arrives by SMS before the family has closed the browser. Then the wait — still days or weeks, but with a booking reference the family can look up whenever the anxiety returns, and a phone number that a person answers. Then the journey, the hotel, the return, and the telling of the story, which now happens on a public page with a star rating attached and is read by strangers.

THE STEP	2004	2015
Asking around	Relatives, in person, over weeks	A group chat and a page of strangers' reviews, in an evening
Comparing prices	Two offices, a day off work, two prices that were not comparable	Every fare on one screen, sortable, total price shown
Paying	Cash or cheque, in a small office, against a printed voucher	A card and a one-time password, from home
The wait	Days or weeks with nothing to check and nobody to call	A booking reference, an emailed confirmation, and a staffed phone number
The telling afterwards	To other families, privately	In public, with a rating attached, to strangers

Look at what changed and what did not. The steps at the beginning and the end of the process are almost untouched — the family still raises the idea weeks early, still asks people they trust, still travels, still comes home and tells the story. The transformation is concentrated in the middle, in a narrow band of steps that a very large amount of money and engineering was pointed at for a decade.

8 Where the Money Actually Sits

One last set of numbers, from MakeMyTrip, and they are worth reading twice.

MakeMyTrip acquires most of its customers through air ticketing — a fiercely competitive, price-transparent business where the intermediary's cut on a flight is thin, a few per cent at best and sometimes almost nothing. It earns a far higher margin on hotels and packages, where the commission is reported in the region of fifteen to twenty per cent.

So the part of the business that brings the customer in is not the part that pays for the company. A company that had insisted on every stage paying for itself would have made flight search worse — added fees, hidden the total, pushed the customer toward the profitable product — and lost the customer at the first step.

> **HOLD THIS THOUGHT**
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> Think of the last time you abandoned something online halfway through — a form, a cart, a signup, an application. Write down the exact step at which you stopped, and what was on the screen. Not 'it was annoying'. The step.
>
> Then answer one more question about it: was the company wrong to lose you, or were you never going to buy? Bring your answer. We will disagree about it.

9 The Question This Case Sets Up

Ask a family how they booked a holiday and they will describe three steps. They lived through fourteen. Ask them what was wrong with it and they will say it was fine.

Both of those companies made their reputations by ignoring most of what their customer experienced and concentrating almost everything they had on a very small part of it. Neither of them could have chosen that small

part by asking the customer, because the customer had already compressed the whole fortnight into a single sentence and forgotten the rest.

So the question we open with is this: **if you cannot ask, and you cannot remember your own version accurately either, how would you find the part worth fixing?**

And then a harder one, which is really the same question pointed at you. There is a version of this at ten o'clock tomorrow morning that nobody has fixed. There are versions of it at a government office, a hospital billing counter, a college admissions desk. What do those places have in common — and what does that tell you about where to look?

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
>
> Five questions. A line or two each is enough — except question 2, which wants a list. Nothing here is collected or graded, but you will be asked for your answers, and the questions are built so that a wrong answer is more useful than no answer.
>
> There are no model answers at the back of this document. That is deliberate.

1. **You marked the 2004 holiday steps in Section 1.** How many did you mark as miserable, out of how many total? Name the worst two, and say in one sentence each what exactly was bad about them — not 'it was slow', but what the family did not have.

2. **Take the last thing you spent more than ₹5,000 on.** Write down every step, in order, from the first moment the idea appeared to the moment you were done — including the steps that took weeks and the ones that involved other people. Then, next to each step, write one word for how you felt. Bring the list. If it has fewer than eight steps, you have compressed it, and you should go back and find the missing ones.

3. **MakeMyTrip fixed two things and ignored everything else.** Name the two, and then name one thing about a holiday that is genuinely delightful which they made no attempt to improve. Say why that was the right call — or argue that it was not.

4. **redBus's founders spent years persuading small bus operators to hand over their seat inventory.** That is slow, unglamorous, one-operator-at-a-time work. Make the argument that this was the most valuable thing they could possibly have been doing. Then say what a competitor with more money could have done to beat them, and whether it would have worked.

5. **Nobody has fixed the ten o'clock problem, or the queue at a government office, or the hospital billing counter.** Write one line on what all three have in common. Then pick one of them and name the single moment in it where you would concentrate everything if it were yours to fix.

Come with your five answers and one genuine disagreement. If some part of this case struck you as unfair — to the travel agent, to the bus operator, or to the people running a booking system for a country of 1.4 billion at ten o'clock in the morning — that is worth saying out loud. Those are usually the most useful ten minutes of the class.